

E-Commerce Retention Analytics

A Sample Built to Demonstrate Methodology

Prepared by Osaretin Idiagbonmwon

E-Commerce Data Analyst

oidiagbonmwon@gmail.com

[LinkedIn Profile](#)

[Portfolio](#)

Dataset: UCI Online Retail | 3,921 Customers | 349,227 Transactions

The Problem Most Agencies Are Not Solving

E-commerce agencies are improving at email attribution. Open rates, click-through rates, and flow performance are clearer than ever. However, attribution only shows what has happened. It does not indicate what will happen next.

Agencies with 7 and 8-figure revenues are beginning to stand out. They can identify which customers in their client lists are worth keeping, which ones are drifting away, and which ones are already lost. They do not wait for a customer to stop engaging; they predict when that might happen and create flows to address it.

This sample illustrates churn modeling, LTV forecasting, and cohort retention analysis directly integrated into Klaviyo. It is based on real data. Every figure in this document comes from an actual e-commerce dataset, using the same methods I apply to client accounts.

3,921 Customers Analysed	£13.3M Total Portfolio LTV	58.9% Revenue at Risk
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The 58.9% figure represents the portion of projected 12-month revenue that sits in customer segments at risk of churning or showing signs of disengagement. Without proper flows in place, much of that revenue is likely to be lost.

Churn Risk Segmentation

Every customer in this dataset was evaluated using a Random Forest model trained on their purchasing behavior, such as recency, frequency, total spend, average order value, and customer tenure. Each customer received a churn probability score between 0 and 1, and then was assigned to one of three risk tiers.

Risk Tier Breakdown

Risk Tier	Customers	Avg LTV (12M)	Klaviyo Flow
Low Risk	1,073	£5,083	VIP / Upsell Flow
Medium Risk	1,541	£5,018	Re-engagement Flow
High Risk	1,307	£67	Win-Back Flow

The High-Risk tier includes 1,307 customers who the model indicates are very likely to have already churned. Their last purchase fell well outside the expected return window, and their probability score reflects this. Their average 12-month LTV of £67, after adjusting for churn, shows that without intervention, this group will contribute almost nothing moving forward.

The Medium Risk tier is the most important segment for revenue. There are 1,541 customers in this category who are still making some purchases, but their patterns suggest they may be drifting. Their average LTV of £5,018 over the next 12 months represents recoverable revenue if the right re-engagement flow connects with them at the appropriate time.

The Low Risk tier represents a healthy, active group of customers. These customers are worth protecting and growing. They have high purchase frequency, a strong LTV, and a low churn probability. A VIP or upsell flow can yield significantly more than attempts to recover customers who have already been lost.

12-Month LTV Forecast

The LTV forecast shows how much revenue each customer is likely to generate over the next 12 months, adjusted for their churn probability. If a customer has a 97% churn probability, that weight is applied directly. Their forecasted value drops to near zero, reflecting the reality instead of an inflated figure.

Revenue at Risk

Segment	Forecasted 12-Month LTV
Low Risk	£5,453,574
Medium Risk	£7,732,938
High Risk	£87,204
Total Portfolio	£13,273,716
Total at Risk	£7,820,141 (58.9%)

The £7.8 million in forecasted revenue is sitting inside segments that are either drifting or already lost. This number should guide retention strategies, not open rates.

The LTV forecast serves two purposes for a client account. First, it helps prioritize where to focus retention efforts. Targeting high-LTV customers in the Medium Risk tier yields much better returns than sending messages to the entire list. Second, it makes the ROI conversation clear. If you can show a client that a re-engagement flow focused on £7.8M at-risk LTV, improves retention by even 10%, the value of that work becomes tangible.

Top Customers by Tier

The table below lists the highest LTV customers in each risk tier. In a real client engagement, these specific customers would be the first priority when building any Klaviyo flow, especially the high-value customers in Medium Risk, where their retention probability justifies intervention.

Tier	Top LTV Customer — 12M Forecast
Low Risk	Customer 18102 - £258,948
Medium Risk	Customer 16446 - £294,675
High Risk	Customer 12346 - £28,065 (post-adjustment)

Cohort Retention Analysis

Cohort retention analysis groups customers by the month of their first purchase and tracks how many return in subsequent months. It answers a question that most e-commerce analytics systems don't ask: after a customer makes their first purchase, how likely are they to buy again? When do most of them stop coming back?

Average Retention by Month

Month Since First Purchase	Avg Retention	What It Means
Month 0	100%	First purchase - acquisition
Month 1	20.6%	Biggest drop - 79.4% lost here
Month 2	21.7%	Slight recovery
Month 3+	23–31%	Stable loyal base

79.4% of customers do not return after their first purchase. That drop happens between Month 0 and Month 1, within the first 30 days.

This finding is crucial in the retention analysis. The greatest opportunity lies not in win-back efforts, but in the welcome series. A well-timed Klaviyo welcome flow that reaches a customer within the first 2 to 4 weeks of their first purchase addresses the drop-off at the exact moment it occurs. Recovering even 10% of the Month 1 loss across a sizable client base can lead to significant revenue.

After Month 1, retention levels stabilize between 20% and 31%. This is the loyal customer base. Those who have shown repeat purchasing behavior and should be protected with VIP and upsell messaging instead of re-engagement efforts.

Best and Worst Performing Cohorts

Cohort	Avg Retention (Month 1+)
Best: December 2010	36.6%
Worst: November 2011	11.7%
Dataset Average	~23%

The December 2010 cohort outperforms every other acquisition month significantly and deserves attention in a real client engagement. It often points to a specific campaign, seasonal trends, or a product mix that attracted higher-quality customers. Replicating those conditions can serve as a growth strategy, not just a retention effort.

From Data to Klaviyo - The Flow Architecture

The churn scores and LTV figures are not merely analytical outputs; they are inputs for Klaviyo. Each risk tier corresponds directly to a flow, and each flow is triggered by a customer's score rather than a set time delay or broad segment. This distinction sets apart a retention system from a one-size-fits-all calendar.

Flow Mapping

Risk Tier	Klaviyo Flow
Low Risk	VIP / Upsell Flow - reward loyalty, increase AOV
Medium Risk	Re-engagement Flow - before they become High Risk
High Risk	Win-Back Flow - last attempt before suppression
New Customer	Welcome Series - timed to address the Month 1 drop-off

The output of this analytics layer results in updates to customer properties in Klaviyo. Each profile receives a RiskTier value and a ChurnProbability score. Flows are built around these properties. When a customer's score crosses a threshold, they automatically shift between flows. The system updates according to a schedule agreed upon with the agency - weekly or monthly, depending on the client's transaction volume.

This is not a one-off process. The model adapts as new transaction data comes in, scores update, and flows respond accordingly. This retention layer runs continuously alongside the agency's existing email program without replacing it.

What This Looks Like for Your Clients

I collaborate with e-commerce agencies on a project basis. The engagement begins with data your client already has, including transaction history, customer records, and their existing Klaviyo setup.

From that, I build:

- A churn model that evaluates each customer in their list
- A 12-month LTV forecast segmented by risk tier
- Cohort retention analysis to identify where drop-off occurs
- Klaviyo integration, pushing risk tier and churn score directly to customer profiles
- Flow architecture recommendations corresponding to each tier

The output is not a report that sits in a folder. It is a live layer inside Klaviyo that changes how their flows trigger and who they target. The analytics layer I build quietly supports what your team already does. Reducing churn and growing LTV, along with flow metrics, is becoming the standard expectation at the seven and eight-figure level. Agencies that can show clients both email performance and customer value movement are getting ahead of those that only report on one.

I take care of the analytics and integration. You maintain the client relationship and the flow build. This expands what your team can deliver without increasing your staff.

Get in touch

Osaretin Idiagbonmwen — E-Commerce Data Analyst

oidiagbonmwen@gmail.com

[linkedin.com/in/osaretin-idiagbonmwen-33ab85339](https://www.linkedin.com/in/osaretin-idiagbonmwen-33ab85339)

datascienceportfol.io/idiagbonmwenosaretin